ICCSD Public Comment – August 11th, 2026

Good evening. My name is Michael Parrott. I live in Coralville. My children are seventh-generation residents of Johnson County. Tonight, I support the proposed warrant, it is a good recommendation from PFM.

One of my mentors always used to say, “Don’t call out a problem if you haven’t thought about a solution”. Therefore, I have three observations for tonight, each paired with a solution.

First, Interfund borrowing will not stop until this district rebuilds its reserves.

Every option in front of you tonight exists because we did not monitor and enforce reserve targets for years. Thin reserves are why a $10 million payroll loan came out of health insurance, and another insurance or nutrition loan is a fallback option today. This is why we are borrowing to cover September payroll.

When Moody's issued a negative credit outlook for the district on June 14th, 2023, they said “The negative outlook reflects the district's trend of declining fund balance and cash. If reserves do not begin to meaningfully improve, the rating will likely move downward”.

This brings us to my first solution: Ask the administration to bring a written reserve target to this board by the September meeting. It should state a minimum target expressed in days of operating cash, meaning how long we could pay the bills if revenue stopped, and a multi-year schedule to achieve it. Update board policy 701.5R1 to include this reserve metric. Update the solvency target to be 10% minimum.

My second observation: The general fund cash forecast from PFM contains major risks, some of which are understated.

Exhibit 2 shows four months where we start the month owing more than we have in the bank. The district is effectively living paycheck to paycheck a third of the year.

The "Other General Expenses" projection is the same values as last year, offset by $199,000. This is a $30M placeholder.

Exhibit 2 is also missing $6.1M of expected loans from the General Fund to SAVE in May of 2027. If included, the year-end forecast falls to $11.0 million in the bank, about 16 days of cash. We started the year with $26.3 million, about 39 days. More than half of the cushion is gone by year end.

My second solution: Ask PFM if $11.0 million is sized to the downside case, or to what a bank will realistically issue. Update Exhibit 2. Create a downside forecast Exhibit, showing the days of cash on hand under each scenario. Make sure you have an estimate for the fully loaded cost of the warrant, including issuance cost and forecast interest at an expected usage rate. Short term lending isn't free money. It may cost more than the HR position discussed in the last board meeting.

My third observation. The Fiscal 2027 forecast shows a $3.9M deficit in the General Fund. Set aside all the borrowing and the transfers and look only at the money coming in and the money going out. If you add it all up, there is approximately $224 million of revenue against $228 million of expenditures. This gap is after we made $7.5 million in painful cuts.

My third solution: Bring a multi-year budget plan to this board before Fiscal 28 budget work begins. It should show a budget surplus every year until reserves hit the target established by the board. This will get us back to reasonable levels so we can stop playing musical chairs with teacher payroll and the health insurance fund.